VALUATION SUITE - EQUITY RESEARCH

Valuation Overdrive: How multiple valuations can lead to better decisions.

A multi-model approach to intrinsic value — combining DCF, Graham, and Multiples analysis into a single composite signal.

3
VALUATION MODELS

5
REPORT PAGES

IMPORTANT DISCLAIMER

The information contained in this report is for **educational purposes** only and should not be misconstrued as financial advice. Past performance is not indicative of future results. Viewers should consult with a qualified financial advisor for any help or guidance on their financial situation before making any investment decisions.

Investor Challenges in Valuation Application

Difficulty Applying Valuation Methods

Investors often find it hard to convert theoretical valuation models into practical investment decisions.

Limited Experience Impact

Lack of investment experience can lead to uncertainty in trusting valuation outcomes.

Confidence in Model Assumptions

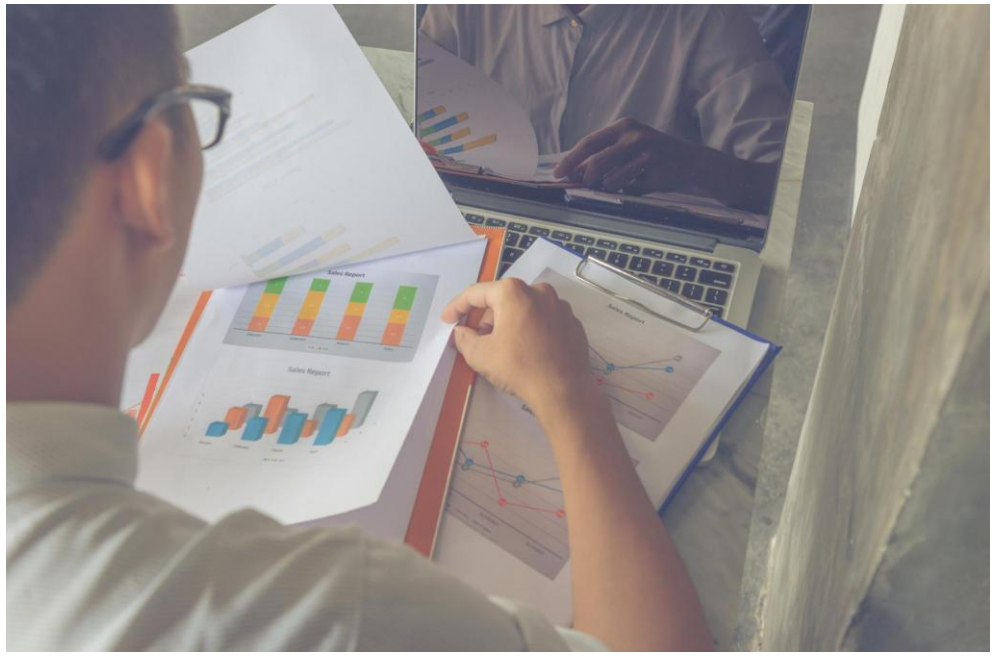
Doubts about assumptions underlying valuation models reduce investor confidence.

Market Performance Disconnect

Sometimes valuations do not align with actual market performance, increasing investor skepticism.

Disclaimer

The information presented in this slide deck is for informational purposes only and should not be construed as financial advice. Viewers are encouraged to seek the guidance of a qualified financial professional before making any investment decisions. Please be aware that all investing involves risk, and past performance is not indicative of future results.



Professional Analyst Valuations: Variance and Reliability

Valuation Variance

Professional analyst valuations differ due to varying assumptions and modeling methods used in assessments.

Factors Influencing Differences

Differences in expertise and assumptions among analysts contribute to inconsistent valuation outcomes.

Reliability Concerns

High variance in valuations questions the reliability and practical use for guiding investments.

Impact of Assumptions in Discounted Cash Flow Models

Sensitivity to Growth Rates

Small variations in projected growth rates can lead to large differences in company valuation outcomes, underscoring careful forecasting.

Effect of Discount Rates

Adjusting discount rates affects the present value of future cash flows significantly, influencing the final valuation estimate.

Terminal Value Assumptions

Terminal value estimates strongly influence DCF valuations, requiring realistic assumptions and thorough analysis.

Valuation Summary

Stock

MSFT

KEY ASSUMPTIONS

Beta	1.00
DCF growth rate	13.1%
EPS (TTM)	$13.70
Terminal growth rate	3.0%

MODEL BREAKDOWN

Model	Value	
Multiples	597.67	+20.2% vs price
Graham	335.65	-32.5% vs price
DCF	307.94	-38.1% vs price
Current Price	497.41	As of Model Date

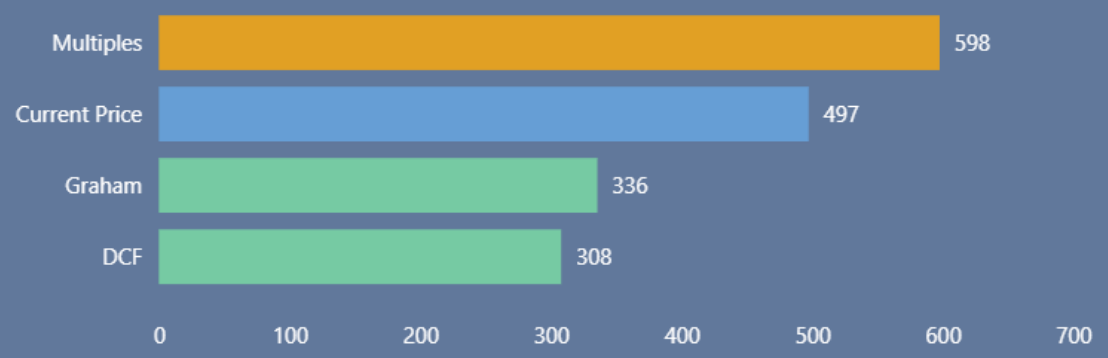
This report highlights the average intrinsic value of the selected stock. The status (over, under, fair) does not imply movement of stock prices in any direction.

Select a ticker symbol from the Stock dropdown at the top of this page or use the menu to go to a different page.

Overvalued

413.76	-37.61%	263.78
Avg Intrinsic Value	Upside %	Acceptable Buy $

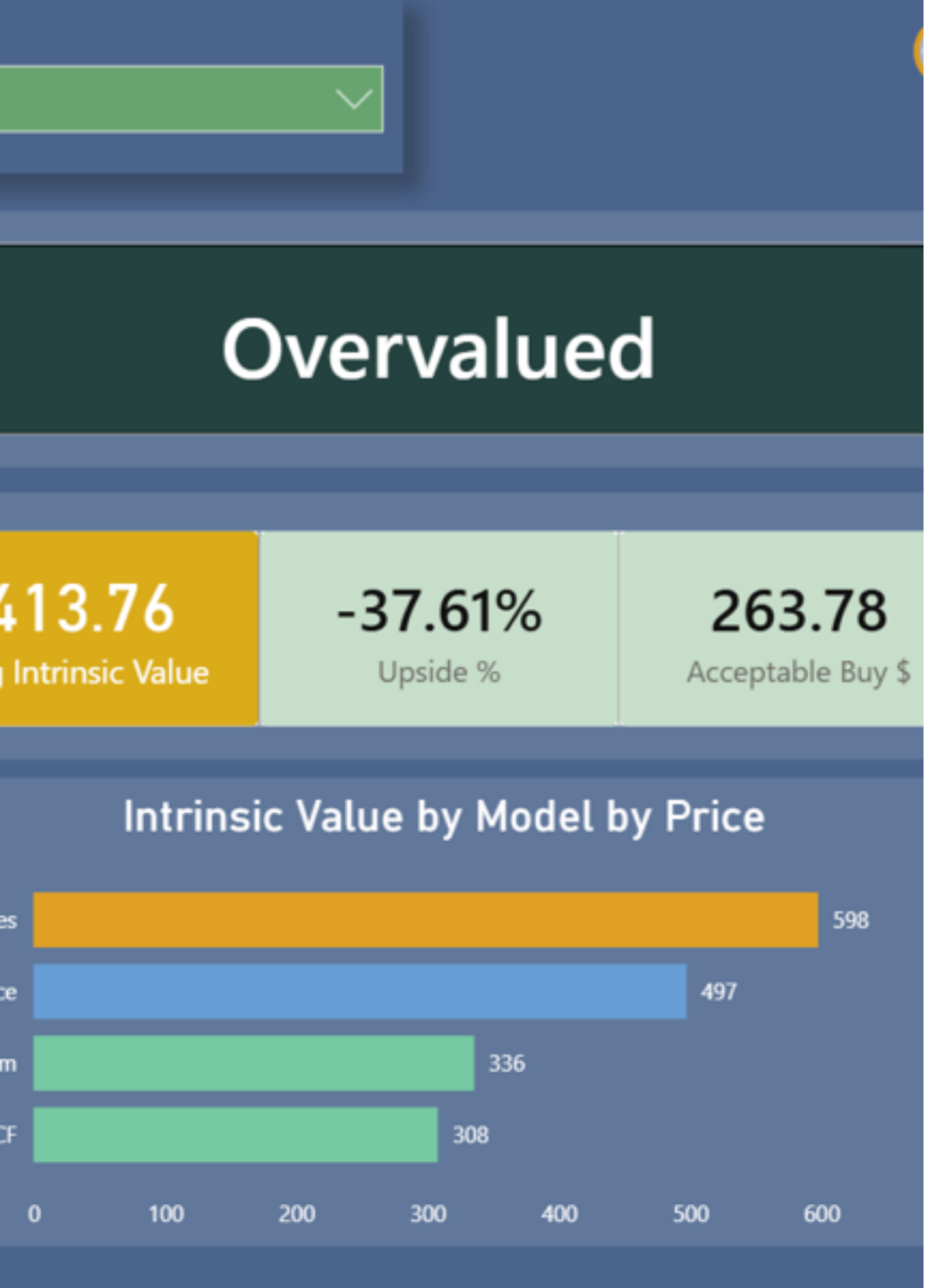
Intrinsic Value by Model by Price



Averaging Valuation Methods

Objective of Case Study

The objective of this analysis is to determine whether averaging results from multiple valuation methods can reduce discrepancies between analysts' estimates and improve consistency across valuations.



Valuation Overdrive Overview

Alignment with Investment Goals

Valuation Overdrive helps investors determine if valuation techniques suit their investment objectives and strategies.

Smoothing Methods Effectiveness

The analysis evaluates how smoothing methods, like the average of DCF, multiples and Graham, improve reliability of valuation results.

Clear Investment Signals

Explores whether these methods deliver clearer signals for making investment decisions and enhance predictive accuracy.

Important Disclaimer

All investing involves risk. Please consult a financial advisor before investing money. Valuation techniques vary widely. The information in this case study are for educational purposes only!

Motivation Behind the Models Used

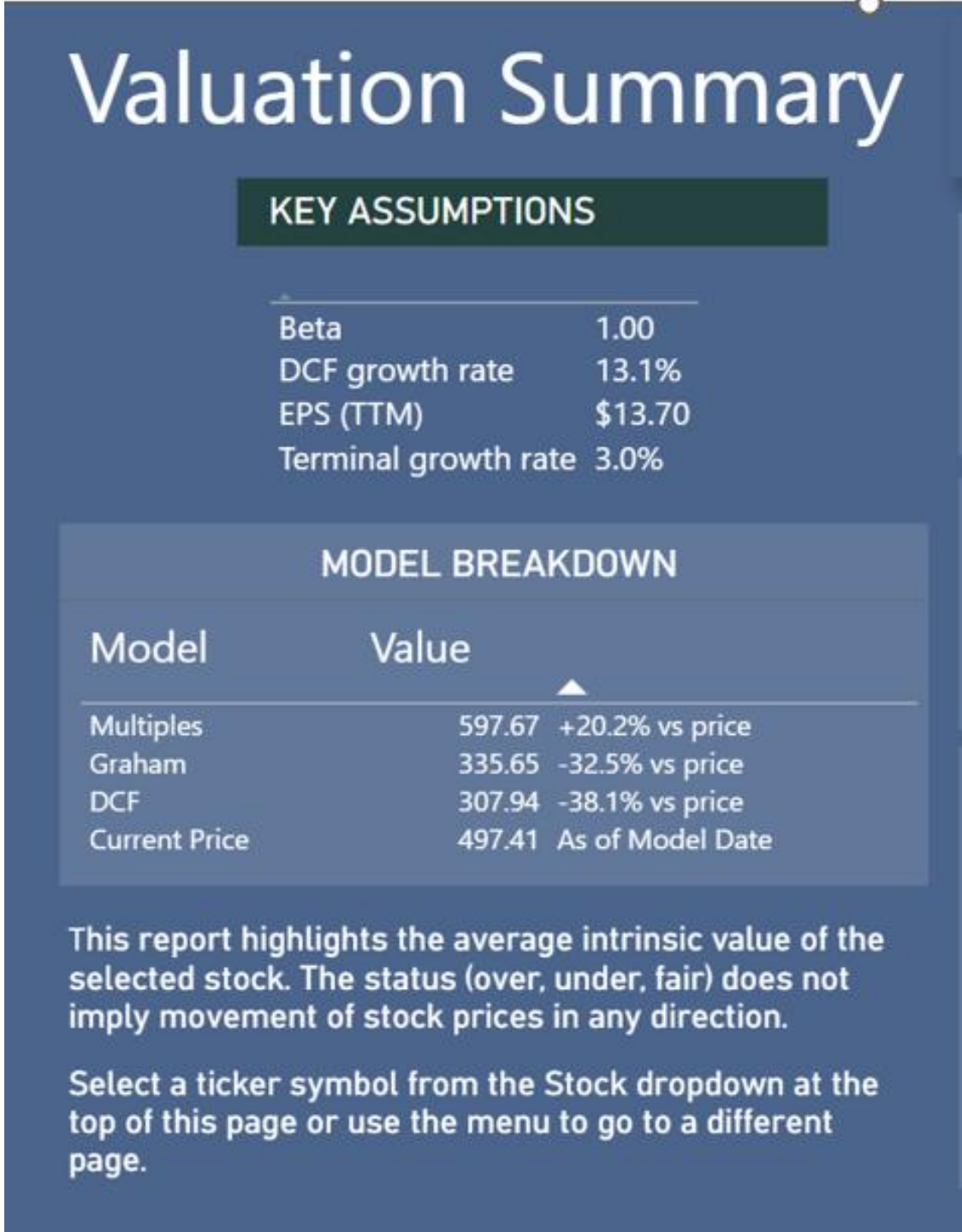
This project uses three valuation methods, which are briefly described below:

1.Discounted Cash Flow (DCF): This method estimates the value of an investment by discounting its expected future cash flows to their present value.

2.Multiples Valuation (MV): This method compares a company to similar peers using financial ratios like P/E or EV/EBITDA. It is similar to how real estate is valued by looking at comparable sales.

3.Graham Valuation Method (GVM): This is a simpler approach that focuses on fundamentals and is known for being straightforward. It is not used as often on its own as DCF or MV, but it works well as part of a combined analysis.

Using several methods helps balance the strengths and weaknesses of each one, leading to a stronger overall valuation. The Dividend Discount Model (DDM) is sometimes used in this type of analysis, but because many companies do not pay dividends, it adds extra complexity. For this reason, it is not included here.



Valuation Summary

KEY ASSUMPTIONS

Beta	1.00
DCF growth rate	13.1%
EPS (TTM)	$13.70
Terminal growth rate	3.0%

MODEL BREAKDOWN

Model	Value	
Multiples	597.67	+20.2% vs price
Graham	335.65	-32.5% vs price
DCF	307.94	-38.1% vs price
Current Price	497.41	As of Model Date

This report highlights the average intrinsic value of the selected stock. The status (over, under, fair) does not imply movement of stock prices in any direction.

Select a ticker symbol from the Stock dropdown at the top of this page or use the menu to go to a different page.

Discounted Cash Flow (DCF)

Overview: DCF is a valuation method that estimates the value of an investment based on its expected future cash flows, which are adjusted for the time value of money.

Process
- Forecast future cash flows for a specific period.
- Determine a terminal value for cash flows beyond the forecast period.
- Discount both the forecasted cash flows and terminal value back to present value using a discount rate (often the weighted average cost of capital).

Use Case: Particularly useful for companies with stable and predictable cash flows.

Discounted Cash Flow (DCF)

497.41	-37.61%
Current Price (Model Date)	Upside Potential %

ASSUMPTIONS

Discount rate (WACC)	9.8%
Shares outstanding	7,433M
Terminal growth rate	3.0%
Growth rate	13.1%
FCF base ($M)	$71,611

10 Year DCF Projection

Item	2026	2027	2028	2029	2030
Discount Factor	0.9104	0.8289	0.7546	0.6870	0.6255
FCF	80,993	91,604	103,605	117,178	132,530
PV of FCF	73,737	75,926	78,180	80,502	82,892

Multiples Valuation

Overview: This method involves comparing a company's valuation metrics to those of similar companies or industry averages.

Common Multiples
- Price-to-Earnings (P/E) ratio
- Enterprise Value to EBITDA (EV/EBITDA)
- Price-to-Book (P/B) ratio

Process: Calculate the multiple for comparable companies and apply it to the company in question to derive its valuation.

Use Case: Quick and effective for assessing relative value, especially in mergers and acquisitions.

Multiples Valuation

Undervalued or Fairly Valued

PEER COMPARABLES

Competitor	Name	Price	EPS	Comp P/E	VS Subject
GOOG	Alphabet Inc.	273.76	10.91	25.09	-30.89%
FTNT	Fortinet, Inc.	78.20	2.44	32.05	-11.73%
ORCL	Oracle Corporation	139.66	5.69	24.54	-32.40%
PANW	Palo Alto Networks, Inc.	147.02	1.87	78.62	116.54%
SNPS	Synopsys, Inc.	380.47	6.58	57.82	59.26%

Graham

Overview: Developed by Benjamin Graham, this method focuses on determining a stock's intrinsic value based on its fundamentals and a margin of safety.

Key Elements:
- Uses earnings, dividends, and growth rates to estimate intrinsic value.
- Emphasizes the importance of a margin of safety to protect against errors in estimation or market fluctuations.

Process: Typically involves a formula that incorporates earnings, growth rates, and a conservative estimate of future performance.

Use Case: Ideal for value investors looking for fundamentally strong stocks that are undervalued.

Each method has its own strengths and is suitable for different types of analysis and investment strategies.

Graham Valuation

Stock

MSFT

The Graham Valuation is one of the easiest as it's calculation with only a few parameters (See table).

Although simple, it offers great insight in valuations, especially when taking the average of a few methods, as is being done in this report.

V = EPS x (8.

FORMULA INPUT
EPS (TTM)
EPS Growth Rate (g)
AAA Bond Yield (Y)
Base P/E (constant)

Overvalued

Composite Valuation (Average)

Analysis

Stock

MSFT

Summary

DCF

Multiples

Graham

Analysis

Conclusion

307.94	597.67	335.65	413.76
DCF Value	Multiples Value	Graham Value	Avg Intrinsic Value

External Valuations

Analyst	DCF	Multiples	Graham	Composite (Avg)
Alpha Spread	$393.82	$386.16	N/A	$391.01
Finbox	$482.01	$465.19	N/A	$473.60
GuruFocus	$479.28	$535.42	107.97	$374.22
Macroaxis	$558.00	$558.00	N/A	$591.71
Morningstar	$600.00	$600.00	N/A	$600.00
Seeking Alpha (Contributor Composite)	$444.75	$370.00	N/A	$426.06
Simply Wall St	$445.04	$429.86	N/A	$437.45
StockUnlock	$593.00	$593.00	N/A	$593.00
The Acquirer's Multiple	$228.64	$271.00	N/A	$249.82
Tradestie	$417.10	$417.10	N/A	$417.10
ValueInvesting.io	$380.43	$531.09	N/A	$480.87
WallStreetZen	$349.46	$411.49	N/A (paywalled)	$380.48

AI Commentary Display

Microsoft appears overvalued based on intrinsic valuation models, with a blended value around $310–$322 significantly below the current price of ~$497, implying roughly -38% downside and reinforced by consistent DCF and Graham outputs. However, the multiples-based valuation (~$598) suggests the market is assigning a premium due to strong expectations around growth, dominance in cloud and AI, and overall business quality, highlighting a divergence between fundamentals and sentiment. Taken together, the stock leans toward a "Sell" or "Overvalued" signal for value investors, though growth investors may justify the premium if Microsoft continues to outperform, making this more a debate between valuation discipline and belief in future execution.

NOTE: Current Price as of the date of analysis. Capturing the date at that time can allow for back testing functionality to be implemented in future phases!

Composite Valuation (Average)

Analysis

Stock

MSFT

307.94	597.67	335.65	413.76
DCF Value	Multiples Value	Graham Value	Avg Intrinsic Value

External Valuations

Analyst	DCF	Multiples	Graham	Composite (Avg)
Alpha Spread	$393.82	$386.16	N/A	$391.01
Finbox	$482.01	$465.19	N/A	$473.60
GuruFocus	$479.28	$535.42	107.97	$374.22
Macroaxis	$558.00	$558.00	N/A	$591.71
Morningstar	$600.00	$600.00	N/A	$600.00
Seeking Alpha (Contributor Composite)	$444.75	$370.00	N/A	$426.06
Simply Wall St	$445.04	$429.86	N/A	$437.45
StockUnlock	$593.00	$593.00	N/A	$593.00
The Acquirer's Multiple	$228.64	$271.00	N/A	$249.82
Tradestie	$417.10	$417.10	N/A	$417.10
ValueInvesting.io	$380.43	$531.09	N/A	$480.87
WallStreetZen	$349.46	$411.49	N/A (paywalled)	$380.48

AI Commentary Display

Microsoft appears overvalued based on intrinsic valuation models, with a blended value around $310–$322 significantly below the current price of ~$497, implying roughly -38% downside and reinforced by consistent DCF and Graham outputs. However, the multiples-based valuation (~$598) suggests the market is assigning a premium due to strong expectations around growth, dominance in cloud and AI, and overall business quality, highlighting a divergence between fundamentals and sentiment. Taken together, the stock leans toward a "Sell" or "Overvalued" signal for value investors, though growth investors may justify the premium if Microsoft continues to outperform, making this more a debate between valuation discipline and belief in future execution.

NOTE: Current Price as of the date of analysis. Capturing the date at that time can allow for back testing functionality to be implemented in future phases!

Numerous analysts use several models and then average their results. This approach helps to stabilize the calculations and, theoretically, assists investors in making more informed decisions, since combining models can reveal details that might be missed by a single model alone.

IS IT EFFECTIVE?

Conclusion

Valuation analysis can be a powerful tool for understanding whether a stock appears overvalued or undervalued, but the results across analysts in this report highlight an important reality, there are no silver bullets in investing. Even when using similar methodologies such as Discounted Cash Flow or multiples-based approaches, outputs can vary widely depending on assumptions, reinforcing that valuation is as much an art as it is a science. This dispersion suggests that valuation should be used as a directional guide rather than a definitive answer.

Interestingly, the gap between simplified valuation models and more complex, professional-grade analyses is often narrower than many investors might expect when assumptions are held constant. While institutional models may incorporate more variables, scenario testing, and nuanced forecasting, the core mechanics remain largely the same, which opens the door for individual investors to build meaningful valuations on their own. At the same time, this reality can support the argument for leveraging free or low-cost research from professional analysts, who bring experience, industry context, and scale to their work.

Ultimately, the decision comes down to personal preference and investing philosophy. Relying on external research may save time and provide broader perspective, while constructing your own valuations can deepen your understanding and connection to the businesses you invest in. Neither approach is inherently superior, the value lies in consistency, awareness of assumptions, and aligning your process with your long-term investment goals.

Happy Investing!

IT WORKS – BUT IT'S NOT PERFECT!

See the Power BI report to learn more!

Valuation Summary

Stock

MSFT

KEY ASSUMPTIONS

Beta	1.00
DCF growth rate	13.1%
EPS (TTM)	$13.70
Terminal growth rate	3.0%

MODEL BREAKDOWN

Model	Value	
Multiples	597.67	+20.2% vs price
Graham	335.65	-32.5% vs price
DCF	307.94	-38.1% vs price
Current Price	497.41	As of Model Date

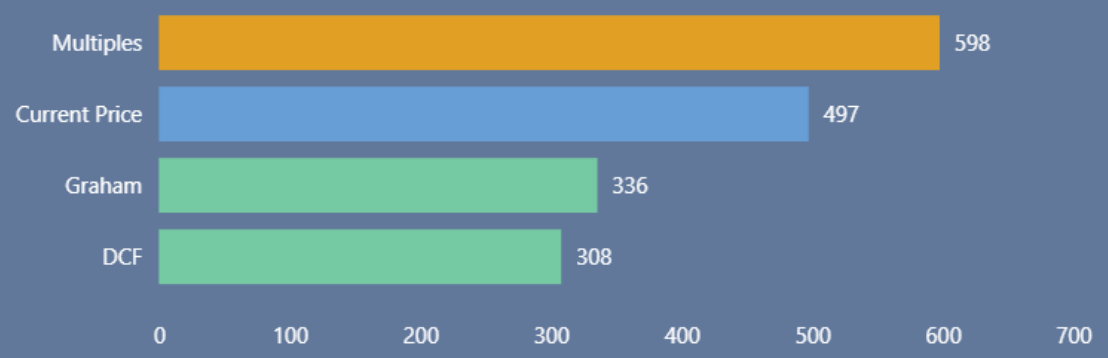
This report highlights the average intrinsic value of the selected stock. The status (over, under, fair) does not imply movement of stock prices in any direction.

Select a ticker symbol from the Stock dropdown at the top of this page or use the menu to go to a different page.

Overvalued

413.76	-37.61%	263.78
Avg Intrinsic Value	Upside %	Acceptable Buy $

Intrinsic Value by Model by Price



Valuation Summary

Stock
MSFT

Summary
DCF
Multiples
Graham
Analysis
Conclusion

KEY ASSUMPTIONS

Beta	1.00
DCF growth rate	13.1%
EPS (TTM)	$13.70
Terminal growth rate	3.0%

MODEL BREAKDOWN

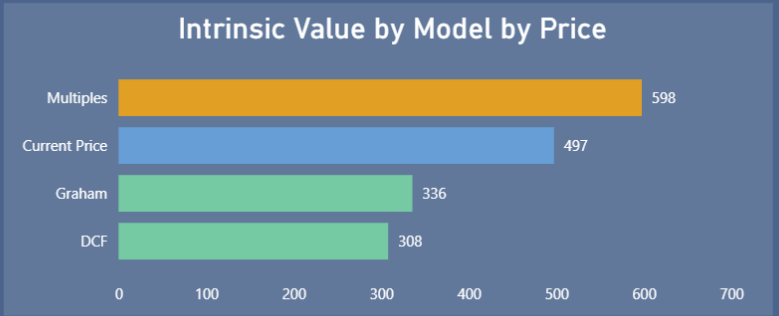
Model	Value	
Multiples	597.67	+20.2% vs price
Graham	335.65	-32.5% vs price
DCF	307.94	-38.1% vs price
Current Price	497.41	As of Model Date

This report highlights the average intrinsic value of the selected stock. The status (over, under, fair) does not imply movement of stock prices in any direction.

Select a ticker symbol from the Stock dropdown at the top of this page or use the menu to go to a different page.

Overvalued

413.76	-37.61%	263.78
Avg Intrinsic Value	Upside %	Acceptable Buy $



https://DataScienceReview.com/Valuation